



CATEGORY

Mutual Funds have a lot of categories based on asset classes and subclasses that they invest in. These include mid-cap fund, small-cap fund, high-duration bond fund, gilt funds, BFSI sector fund, an international fund, etc. Mutual fund schemes in the same category have similar behavior and risk-reward characteristics. We will use categories defined by Morningstar. Getting the category right is 80% of the mutual fund selection process.

PORTFOLIO P/E



P/E or Price to Earnings ratio is one of the most commonly used valuation metrics. It illustrates how much the company is being valued for each rupee of earnings that it makes. In a P/E multiple, P stands for the price of the company and E stands for the earnings (profits) of the company. So if a company has a P/E of 20 and its earning is Rs. 1 crore, then the company will be priced at Rs. 20 crore. If we have an identical company, but its P/E is 15, then it would be priced at Rs. 15 crore. P/E depends on the strength of the business and market sentiments.

The higher the P/E multiple, the higher is the valuation of the company, and the higher are the chances that the price is currently above the company's true value. Portfolio P/E is the weighted average of the P/Es of all the companies owned by the scheme. Portfolio P/E is one of the indicators of valuation used.